

Express view on market fall: Investors need more clarity

On Monday, stock markets **crashed**, with the BSE Sensex ending the day down 1.6 per cent. The Indian markets were, however, not an **outlier**. **Some** of the other Asian markets also **witnessed** weakness. The Nikkei index was down 1.5 per cent while the Hang Seng fell by 0.4 per cent. In the Indian markets, the selling pressures were **broad-based**, not just limited to the larger companies. The BSE Midcap index fell by 2.4 per cent, while the Smallcap index declined by more than 3 per cent. **The Nifty VIX**, a fear gauge, **was** up 15.6 per cent.

The **triggers** for the fall appear to be both global and domestic. On the global **front**, investors are **apprehensive** about the possible changes to US policy after Donald Trump is **sworn in** as president on January 20. Concerns over the possibility of higher **tariffs weigh** heavy. The policy **stance** of the US Fed **is** of equal concern. The first meeting of the Fed which will be held later this month will provide greater clarity on how tight its monetary policy is likely to be. This will have **implications** for the dollar and the rupee. On the domestic front, after a **depressed** earnings quarter (July-September), there are concerns over the performance of the corporate sector in the just **concluded** quarter (October-December). While some are hopeful of a **bounce back**, others are **circumspect**, expecting earnings to be **subdued**. There is a view that after the **slump** in the second quarter, the economic **momentum** has picked up, what is less clear is the extent of the **pick up**. **Government spending** also remains weak. The Centre's **capital expenditure**, which has been a key **driver** of growth in recent years, **has** been **waning** — during April-November it was actually 12 per cent lower than last year — and foreign investors appear circumspect. In the first few days of the new year, **foreign portfolio investors** have been sellers with (net) investments of -\$836 million. Some reports suggest that investors may have also been **spooked** by the virus **outbreak** in China.

Clarity on some of these issues **will** emerge over the next few weeks, **prompting** investors to **reassess** their positions. **Alongside**, how the upcoming Union budget and the February meeting of the monetary policy committee provide support to the economy will also influence **sentiment**. **[Practice Exercise]**

- Red/blue coloring of words in the sentence indicates subject verb relationship; where 'red' denotes 'subject' and 'blue' denotes 'verb'.

Vocabulary

1. **Crash** (verb) – Plummet, fall, drop suddenly, collapse अचानक गिरावट
2. **Outlier** (noun) – Exception, anomaly, aberration, deviation अपवाद
3. **Witness** (verb) – Observe, see, experience, note देखना
4. **Broad-based** (adjective) – Widespread, extensive, comprehensive व्यापक
5. **Gauge** (noun) – Indicator, measure, metric, scale सूचक
6. **Trigger** (noun) – Catalyst, cause, spark, provocation कारण
7. **Front** (noun) – Aspect, dimension, facet, field पहलू
8. **Apprehensive** (adjective) – Anxious, worried, uneasy, concerned चिंतित
9. **Swear in** (phrasal verb) – Inaugurate, induct, appoint, officially begin शपथ ग्रहण करना
10. **Tariff** (noun) – Duty, tax, levy, charge शुल्क
11. **Weigh** (verb) – Influence, affect, impact, press upon असर डालना
12. **Stance** (noun) – Position, viewpoint, perspective, attitude रुख
13. **Implication** (noun) – Consequence, effect, outcome, repercussion प्रभाव
14. **Depressed** (adjective) – Weak, stagnant, subdued, sluggish मंद
15. **Concluded** (adjective) – Ended, finalized, completed, wrapped up समाप्त
16. **Bounce back** (noun) – Recovery, resurgence, comeback, revival वापसी
17. **Circumspect** (adjective) – Cautious, careful, wary, prudent सावधान
18. **Subdued** (adjective) – Moderate, restrained, low-key, quiet कमजोर
19. **Slump** (noun) – Decline, recession, downturn, dip गिरावट
20. **Momentum** (noun) – Force, impetus, drive, velocity गति
21. **Pick up** (noun) – Improvement, recovery, increase, upturn सुधार
22. **Government spending** (noun) – the total amount of money a government spends on goods and services to fund its activities and functions. सरकारी खर्च
23. **Capital expenditure** (noun) – money spent by a business or organization on acquiring or maintaining fixed assets, such as land, buildings, and equipment.

24. **Driver** (noun) – Motivator, catalyst, factor, impetus प्रेरक

25. **Waning** (adjective) – Decreasing, diminishing, shrinking, ebbing घटता हुआ

26. **Foreign portfolio investor** (noun) – When investors from some other country buy securities or some other financial assets

27. **Spook** (verb) – Alarm, scare, unsettle, frighten डराना

28. **Outbreak** (noun) – Eruption, surge, onset, beginning प्रकोप

29. **Prompt** (verb) – Encourage, provoke, stimulate, cause प्रेरित करना

30. **Reassess** (verb) – Reevaluate, reconsider, review, reexamine पुनर्मूल्यांकन करना

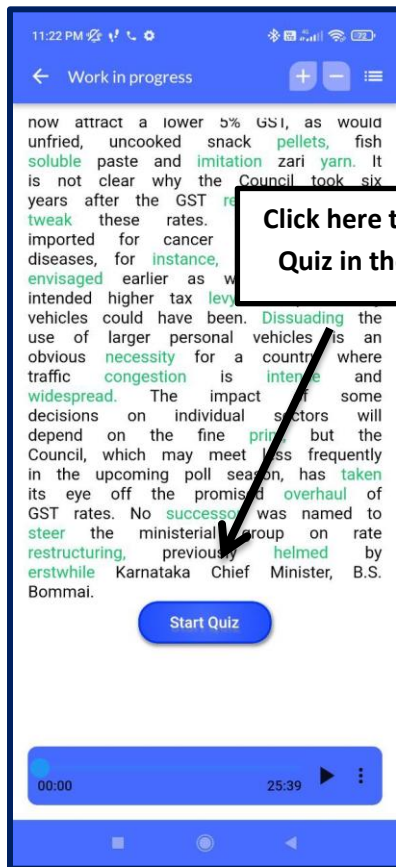
31. **Alongside** (adverb) – Together with, parallel to, beside, simultaneously साथ-साथ

32. **Sentiment** (noun) – Mood, feeling, outlook, attitude भावना

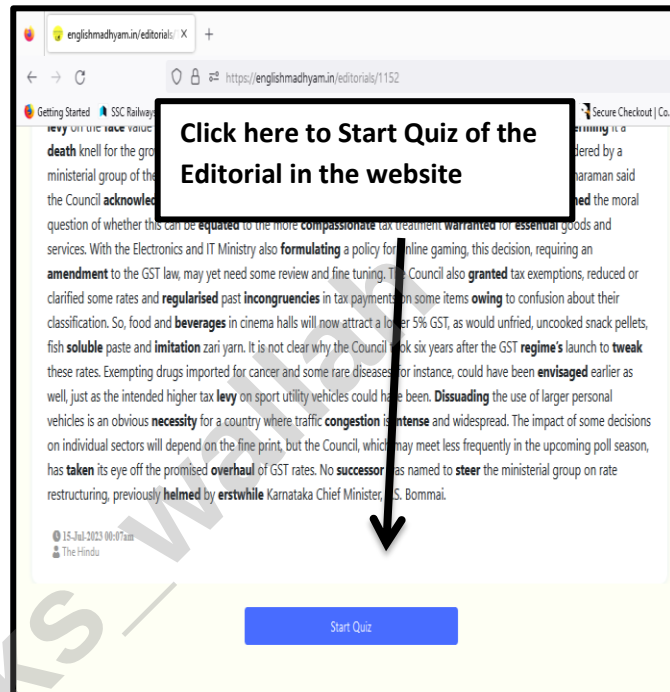
Summary of the Editorial

1. **Broad-Based Decline:** The sharp fall in Indian markets, with the BSE Sensex down 1.6%, was accompanied by significant drops in midcap and smallcap indices, indicating broad-based selling pressure.
2. **Global Triggers:** Uncertainty over U.S. policies under the incoming administration and the possibility of higher tariffs, coupled with apprehensions about the U.S. Fed's monetary policy stance, are major contributors to global investor anxiety.
3. **Domestic Concerns:** Weak corporate earnings in recent quarters and uncertainty over the October-December quarter's performance have added to domestic market pessimism.
4. **Weak Economic Momentum:** While there are signs of economic recovery post the Q2 slump, the extent of improvement remains unclear, creating hesitation among investors.
5. **Decline in Government Spending:** A significant reduction in capital expenditure by the government (12% lower than last year during April-November) has weakened a crucial growth driver, raising concerns about fiscal support.
6. **Foreign Investor Sentiment:** Foreign portfolio investors have been net sellers in the Indian market, with \$836 million outflows in the initial days of the year, reflecting lack of confidence.
7. **Impact of Global Events:** Reports of a virus outbreak in China and its potential economic impact may have added to investor nervousness.
8. **Fear Gauge Spike:** The Nifty VIX rising by 15.6% highlights heightened investor fears and uncertainty.
9. **Upcoming Triggers for Clarity:** Key events such as the U.S. Fed meeting, the Union Budget, and the monetary policy committee meeting in February are awaited to provide direction and clarity.
10. **Economic Policies and Market Sentiment:** Investors will closely monitor how the government and the Reserve Bank of India plan to address weak growth, boost spending, and stabilize the economy.
11. **Corporate Performance Outlook:** A clear view of corporate earnings for Q3 will be essential to gauge economic recovery and determine investor confidence.
12. **Global Policy Implications:** The Fed's decisions and U.S. trade policies will have a direct impact on the dollar, rupee, and Indian markets, influencing foreign investor behavior.
13. **Balanced Optimism:** While some hope for an earnings bounce-back, skepticism prevails due to weak government spending and subdued foreign investment.
14. **Broader Asian Market Weakness:** The Indian market fall was not isolated, with indices like Nikkei and Hang Seng also showing weakness, signaling a broader regional impact.
15. **Investor Strategy:** Until more clarity emerges on global and domestic fronts, investors are likely to adopt a cautious approach, reassessing their positions after key events unfold.

Practice Exercise: Banking Pattern Based



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